

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

**STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.**

**RESPONDENTS'
PROPOSED FINDINGS OF FACT**

Supplement No. 2 to Respondents' Opposition Brief

RESPONDENTS' PROPOSED FINDINGS OF FACT

Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic,” and together with Sterling “Respondents”), by and through undersigned counsel, hereby submit their Proposed Findings of Fact.

1. **R PFF 1.** SeaFair USA LLC (“SeaFair”) is a Florida limited liability company with its principal place of business at 3740 West 104th Street, Suite 16, Hialeah Gardens, FL 33018.
2. **R PFF 2.** Sterling is a company organized under the laws of Hong Kong with its principal place of business at Flat/Rm 722, 7/F, Metroplaza, Tower 2, 223 Hing Fong Road, Kwai Fong, N.T., Hong Kong.
3. **R PFF 3.** Sterling is a foreign Non-Vessel-Operating Common Carrier (“NVOCC”) registered with the Federal Maritime Commission (“FMC”) under no. 016481. The bond is held by United States Fire Insurance Company (“USFIC”).
4. **R PFF 4.** Atlantic is a company organized under the laws of Switzerland with its principal place of business at Grosspeteranlage 29, 4052 Basel, Switzerland. Atlantic is an ocean transportation intermediary; it is not registered with FMC.
5. **R PFF 5.** Respondents business relationship with SeaFair began in at least June 2018, upon SeaFair’s Managing Director signing Respondents’ terms and conditions (“Respondents’ Terms and Conditions”). (See Respondents’ Appendix 1 at RX-APP-01-001).
6. **R PFF 6.** In or around May 2021, Respondents engaged SeaFair to act as their destination agent, including to handle document turnover and destination services, in the United States for shipments carried under Sterling’s house bills of lading (“HBLs”) issued by various

branch offices of Atlantic who were acting as agents of Sterling. Part of SeaFair's obligation and responsibility as destination agent was to independently coordinate services at destination and collect certain destination charges from the consignees and their forwarding agents associated with the shipments issued under Sterling HBLs. (SeaFair Proposed Finding of Fact ("SF-PFF") 10; *see also* Complainant's Appendix 19).

7. **R PFF 7.** In 2021, SeaFair acted as the destination agent for Respondents under certain HBLs where Sterling was the Carrier. (*See generally* Complainant's Appendix 13); and the corresponding Master Bills of Lading/Sea Waybills were issued by non-party Mediterranean Shipping Company S.A. ("MSC"). (*See, e.g.,* Complainant's Appendix 12).
8. **R PFF 8.** Numerous 2021 MSC Master Bills of Lading/Sea Waybills identified SeaFair as the Consignee and Notify Party where the SeaFair point of contact was listed as Michael Andres (former SeaFair Miami Branch Manager). (*See, e.g.,* Complainant's Appendix 12 at SFOB-APP-12-0040 (June 22, 2021); SFOB-APP-12-0059 (June 20, 2021); SFOB-APP-12-0078 (June 20, 2021); SFOB-APP-12-0097 (June 26, 2021); SFOB-APP-12-0116 (June 26, 2021); SFOB-APP-12-0135 (July 14, 2021); SFOB-APP-12-0154 (July 14, 2021); SFOB-APP-12-0173 (July 14, 2021); SFOB-APP-12-0192 (July 19, 2021); SFOB-APP-12-0211 (July 19, 2021); SFOB-APP-12-0230 (July 19, 2021); SFOB-APP-12-0249 (July 19, 2021); SFOB-APP-12-0268 (July 19, 2021); SFOB-APP-12-0287 (July 27, 2021); SFOB-APP-12-0306 (July 27, 2021); SFOB-APP-12-0325 (July 27, 2021); SFOB-APP-12-0344 (August 3, 2021); and SFOB-APP-12-0363 (August 3, 2021)).
9. **R PFF 9.** Under MSC's Sea Waybill terms and conditions, a "Merchant" is defined as follows: "Merchant includes the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the

Goods or of this Sea Waybill or anyone acting on behalf of this Person.” (*See* Complainant’s Appendix 16 at SFOB-APP-16-0004; SF-PFF 29-30).

10. R PFF 10. Beginning in July 2021, Respondents began to express dissatisfaction with SeaFair’s services. (*See* Complainant’s Appendix 22, SFOB-APP-22-0002-0003). For example, on July 14, 2021, a message from a representative for an affiliate of Atlantic was sent to SeaFair’s Michael Andres, Branch Manager, regarding SeaFair’s services - which included the following statements critical of SeaFair: (i) “Shipper and consignee absolutely do not want to pay the demurrage costs due to Seafair’s failure to pay MSC on time”; (ii) “we’ve been getting a lot of complaints lately”; (iii) “Customer calls are not answered. Buyers are having a lot of trouble reaching you.”; (iv) “Container releases not done in a timely manner.”; and (v) “Our customers who have problems with their shipments are not adequately assisted.”). (*See* Complainant’s Appendix 22, SFOB-APP-22-0002-0003).

11. R PFF 11. In response to this July 14, 2021 message, SeaFair’s Michael Andres replied in two messages to affiliate personnel of Respondents on July 27, 2021 in relevant part as follows: (i) “I understand, below is a problem we’ve [SeaFair has] been experiencing for a very long time in Miami. Unfortunately management in Germany has been no help. We’ve been asking for a long time for additional hires and assistance from our NY office and nothing has been done. [SeaFair’s] Management only reacts when things are falling apart...unfortunately we don’t get to pick who our managers are. Now that things have gotten increasing busier it’s a disaster every time someone goes on vacation, especially Samuel who is my right hand and works day & night + weekends. My staff and I do the best we can with the very limited resources we have but in terms of changes for improvement my hands are tied until management decides to do something. We had a

meeting with management last Friday but even then I felt skepticism about our situation from our director so I can't guarantee the situation will improve completely"; and (ii) "I'm able to afford one person on my team to send the MSC A/N to the consignee but they are having trouble looking for the consignee info in A-COP so the process is delayed further." (See Complainant's Appendix 22, SFOB-APP-22-0001-0002).

12. R PFF 12. Upon information and belief, SeaFair's Michael Andres was a Branch Manager for SeaFair's Miami office who was employed by SeaFair between March 2016 and August 2021. Michael Andres and two other SeaFair employee Import Coordinators (Helen Madrid and Samuel Salva) resigned from SeaFair on July 30, 2021, and Mr. Andres was formally terminated by SeaFair on August 12, 2021, (Respondents' Appendix 2 at RX-APP-02-005 - 007), and on September 22, 2021, SeaFair filed a lawsuit against its former employees Mr. Andres, Ms. Madrid, and Mr. Salva in United States District Court for the Southern District of Florida alleging a variety of federal and state trade secret violations (*SeaFair USA, LLC v. Michael Andres, Helen Madrid, Samuel Salva, Michael Andres CHB, Inc.*, Case. 1:21-cv-23406 (September 22, 2021). (Respondents' Appendix 2).

13. R PFF 13. This period of internal difficulties and disarray at SeaFair, including as described by SeaFair's Michael Andres, corresponded with the MSC Master Bills of Lading/Sea Waybills where SeaFair was listed as Consignee and Notify Party (Attn: Michael Andres), as identified by SeaFair in Complainant's Appendix 12. (See Respondents' Proposed Finding of Fact 8; Complainant's Appendix 12 at SFOB-APP-12-0040 (June 22, 2021); SFOB-APP-12-0059 (June 20, 2021); SFOB-APP-12-0078 (June 20, 2021); SFOB-APP-12-0097 (June 26, 2021); SFOB-APP-12-0116 (June 26, 2021); SFOB-APP-12-0135 (July 14, 2021); SFOB-APP-12-0154 (July 14, 2021); SFOB-APP-

12-0173 (July 14, 2021); SFOB-APP-12-0192 (July 19, 2021); SFOB-APP-12-0211 (July 19, 2021); SFOB-APP-12-0230 (July 19, 2021); SFOB-APP-12-0249 (July 19, 2021); SFOB-APP-12-0268 (July 19, 2021); SFOB-APP-12-0287 (July 27, 2021); SFOB-APP-12-0306 (July 27, 2021); SFOB-APP-12-0325 (July 27, 2021); SFOB-APP-12-0344 (August 3, 2021); and SFOB-APP-12-0363 (August 3, 2021)).

14. R PFF 14. Part of SeaFair’s role as destination agent was to collect certain charges at destination from third-party entities on the HBLs where Sterling was carrier. (SF-PFF 10; *see generally* Complainant’s Appendix 19).

15. R PFF 15. Under Respondents’ terms and conditions, all costs after arrival of the vessel on the shipments handled by SeaFair “are for account of the consignee”; and the terms and conditions agreed to by SeaFair state as follows: “by using our services you conclude an agreement with Atlantic/Sterling Container Line which automatically includes the acceptance of above rules and conditions...” (Respondents’ Appendix 1 at RX-APP-01-001).

16. R PFF 16. Neither Sterling nor Atlantic were the “Consignee” identified on any Sterling HBLs identified by SeaFair in Complainant’s Appendix 13. (*See* Complainant’s Appendix 13).

17. R PFF 17. SeaFair’s inconsistent billing practices led to confusion by consignee and forwarding agents to whom SeaFair issued bills. For example, in correspondence regarding certain SeaFair destination charge invoices issued to Foreman Logistics Inc. in January and February 2022, Foreman Logistics personnel responded as follows to a SeaFair invoice request: (i) “We won’t take these invoices because we only received arrival notice with charges from you and paid to MSC directly. We also never received these extra charges

from you.”; (ii) “per you request, we always remit payment to MSC directly according the arrival notice you provided. And same as upon shipment, we don’t recognize \$30 CPC and we won’t paid this too.”; (iii) “For INV# MIAD048301 (MBL# MEDUT8883315), we already paid \$80 chassis charge to MSC directly, please find attached payment email to MSC...For \$30 CPC, we don’t recognize this charge and we won’t paid this.”; and (iv) “It’s ridiculous that Seafair never sent us invoices and threw the statement to us to collect charges. We can not take what you did on collecting these charges. You can turn this over to collection, but we also reserve our rights to reject it due to your collect procedure. (We have entire emails history to prove what happened between your Miami office and Foreman).”) (See Respondents’ Appendix 6 at RX-APP-06-002; RX-APP-06-003; RX-APP-06-008).

18. R PFF 18. SeaFair’s inconsistent billing practices led to confusion by consignee and forwarding agents to whom SeaFair issued bills. For example, in correspondence regarding certain SeaFair destination charge invoices issued to Global Cargo Connection in December 2021 and June 2022, Global Cargo Connection personnel stated as follows: (i) “We have never established credit with your company, why...so many unpaid invoices. Need a clear explanation before send you to our legal department.” (December 2021); and (ii) “Your statement provides no container number, nor Master number....Still no improvement on your statement....Again, please provide MBL or container number on those late...invoices.” (Respondents’ Appendix 9 at RX-APP-09-001).

19. R PFF 19. SeaFair’s inconsistent billing practices led to confusion by consignee and forwarding agents to whom SeaFair issued bills. For example, in correspondence regarding certain SeaFair destination charge invoices issued to Charles Kendall Inc. in February

2022, Charles Kendall Inc. personnel stated as follows: “There is no record on our end that this invoice was provided back in September of last year when the shipment was live. Attached is the email that we received from Seafair, as you can clearly see we were not provided with any notice on these charges at the time. Due to the late notice on these fees we will be unable to collect money from any associated party with this shipment, and will reject this invoice. As we were not involved with the trucking in any way, I would suggest reaching out to the company responsible for the trucking to see if they will cover the costs.” (Respondents’ Appendix 10 at RX-APP-10-005).

- 20. R PFF 20.** Despite SeaFair’s internal issues regarding the termination of its employees, business practices, and internal billing procedures in 2021 and early 2022, through course of dealing Respondents compensated SeaFair \$55 per bill of lading, described by SeaFair as a “documentation fee” or “document turnover fees.” (SF-PFF 9).
- 21. R PFF 21.** On March 1, 2022, SeaFair filed a claim under 46 C.F.R. § 515.23(b) with Sterling’s bondholder, USFIC, for \$138,422.00, claiming that Atlantic and Sterling owed SeaFair \$137,632.00 and \$790.00 in attorney’s fees (the “First Surety Claim”). (*See* Complainant’s Appendix 3; SF-PFF 11).
- 22. R PFF 22.** On March 9, 2022, Respondents made a payment of \$115,417.05 to SeaFair for certain documentation fees that were due and owing (the “March 9 Payment”). (*See* Respondents’ Appendix 3 at RX-APP-03-014 and Respondents’ Appendix 4). This payment included \$113,985.50 in certain fees, including documentation fees, owed to SeaFair, and \$1,975.00 in attorneys’ fees. (*See* Respondents’ Appendix 4).
- 23. R PFF 23.** On March 21, 2022, Respondents replied to SeaFair’s First Surety Claim with certain good-faith disputes regarding some of the invoices alleged to be due and owing in

the First Surety Claim, including by referencing the March 9 Payment. (*See* Respondents' Appendix 3).

24. R PFF 24. Several of the invoices identified in the First Surety Claim were disputed by Respondents - as SeaFair sought to charge Respondents not just documentation fees, but also for certain invoices that were the responsibility of the third-party consignees on the bills of lading at issue. Respondents also believed that SeaFair included documentation fee invoice charges for shipments that had been terminated (thus, no document turnover fees would be due and owing). These disputes, including in 29 individual invoices identified in the First Claim, were initially described and discussed in a letter sent by Respondents to SeaFair on March 21, 2022 (Respondents' Appendix 3), as well as later on in correspondence sent by Respondents on May 27, 2022 (Respondents' Appendix 11) and August 22, 2022. (*See* Complainant's Appendix 7).

25. R PFF 25. After negotiations spanning several months, Respondents offered to settle the First Surety Claim for an outstanding figure of \$8,920.00 in connection with certain SeaFair invoices for documentation fees (*See* Complainant's Appendix 7, SFOB-APP-07-0001-0002).

26. R PFF 26. One reason for the lengthy negotiations is that SeaFair continued to seek duplicative payment by Respondents for invoices that had already been paid by Respondents, including in the payment made on March 9, 2022. For example, in a letter from SeaFair dated August 3, 2022, SeaFair stated that Respondents owed SeaFair \$66,083.50 in connection with outstanding invoices associated with the First Claim (*See* Complainant's Appendix 6 at SFOB-APP-06-0008) - however, several of these invoices had already been addressed and paid for as part of Respondents' March 9, 2022 payment,

which was communicated to SeaFair in a message from Respondents on August 22, 2022 (and later confirmed by SeaFair). (See Complainant’s Appendix 7, SFOB-APP-07-0001-0002) (On March 9, 2022, “Atlantic made full or partial payments for #18 (MIAD048505; \$10,395 of \$10,450); #19 (MIAD048511; \$4,950 of \$5,005); #21, (MIAD048513; \$9,625 of \$11,935); #23 (MIAD048528; \$6,545 of \$6,545), #25 (MIAD048534; \$825 of \$880), #26 (MIAD048535; \$3,950 of \$5,060); #27 (MIAD048540; \$4,895 of \$5,005); #28 (MIAD048542; \$1,375 of \$2,145); and #29 (MIAD048544; \$385 of \$440)”); Respondents’ Appendix 8 at RX-APP-08-001 – 002).

27. R PFF 27. Another example of Respondents’ good-faith dispute of portions of the First Surety Claim is that SeaFair sought to bill Respondents for payments owed by liable third-party consignees, including for a payment that was in fact owed to SeaFair by a third-party consignee Century Distribution Systems, Inc. (Invoice MIAD048805 for \$3,438.50). (Complainant’s Appendix 3, SFOB-APP-03-0113).

28. R PFF 28. Based on the confusing invoicing practices and billing demands from SeaFair to Respondents, Respondents reached out to Century Distribution Systems, Inc. on August 17, 2022, and Century Distribution Systems, Inc. subsequently paid SeaFair. (Respondents’ Appendix 5; Respondents’ Appendix 8 at RX-APP-08-002 (“SeaFair USA confirms that it has received the payment of \$3,438.50 from Century Distribution Systems, Inc. and the dispute over this invoice is resolved.”)).

29. R PFF 29. In SeaFair’s August 3, 2022 letter to Respondents (Complainant’s Appendix 6), SeaFair demanded an additional \$5,500 in document turnover fees from Respondents, and for the first time, asserted that Respondents were liable for \$321,533.52 to SeaFair in “destination charges” that “were paid by SeaFair on behalf of Atlantic Forwarding and/or

Sterling,” stating that SeaFair was “contractually entitled to reimbursement.” (*See* Complainant’s Appendix 6 at SFOB-APP-06-0009).

30. R PFF 30. On October 14, 2022, SeaFair filed a Second Surety Claim against Sterling with USFIC pursuant to 46 C.F.R. § 515.23(b) in the amount of \$327,033.52 (the “Second Surety Claim”) (Complainant’s Appendix 8), including \$5,500 in document turnover fees and \$321,533.52 in “destination charges” “paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling.” (*See* Complainant’s Appendix 8 at SFOB-APP-08-0002).

31. R PFF 31. Respondents responded to the Second Surety Claim in a letter dated November 28, 2022, wherein Respondents (i) accepted liability for the \$5,500 in document turnover fees; and (ii) rejected SeaFair’s claims for \$321,533.52 that “were paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling.” (Respondents’ Appendix 7 at RX-APP-07-001 - 002).

32. R PFF 32. SeaFair filed its Verified Initial Complaint against Respondents on December 15, 2022, purportedly alleging various violations of the Shipping Act and seeking reparations in the sum of \$335,953.52 (plus interest and attorneys fees). (*See* Dkt. Doc. No. 1, SeaFair Complaint at ¶ 32).

33. R PFF 33. The large bulk of SeaFair’s current claims are focused on certain outstanding invoices issued to SeaFair by non-party MSC, seeking contractual indemnification from Respondents in connection with the unpaid invoices owed by SeaFair to MSC. (*See* SF-PFF 18; *see generally* Complainant’s Appendix 10).

34. R PFF 34. SeaFair did not pay \$321,533.52 to MSC (or other parties) on behalf of Atlantic Forwarding and/or Sterling as alleged in SeaFair’s Second Surety Claim (Complainant’s

Appendix 8 at SFOB-APP-08-0002) and Complaint (*See* Dkt. Doc. No. 1, SeaFair Complaint at ¶ 15).

35. R PFF 35. SeaFair’s Opening Brief has abandoned its claim for \$321,533.52 in reparations that it identified in its initial Complaint as having been paid as “out of pocket destination charges on behalf of Respondents.” (*See* Complaint at ¶ 15).

36. R PFF 36. Respondents made the requested payment to SeaFair for document turnover fees in the amount of \$14,420 on August 28, 2023. (Respondents’ Appendix 12 at RX-APP-12-001).

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 28th day of August 2023, the foregoing Proposed Findings of Fact was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Erin M. Wirth
Chief Administrative Law Judge
Presiding Administrative Law Judge
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